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Report Name: Oilseeds and Products Update

Country: Indonesia

Post: Jakarta

Report Category: Oilseeds and Products

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Report Highlights:

Post revised down Indonesia palm oil exports estimate to 27.9 million metric ton (MMT) on lower supplies, higher domestic use and expected reduced export demand for 2023/24. Palm oil use for the biodiesel industry is revised down to 12.3 MMT for 2023/24 on lower-than-expected biodiesel distribution in 2023. Soybean meal use is estimated to increase 2 percent to 5.65 MMT in 2023/24 from the previous year on improved feed millers' performance.

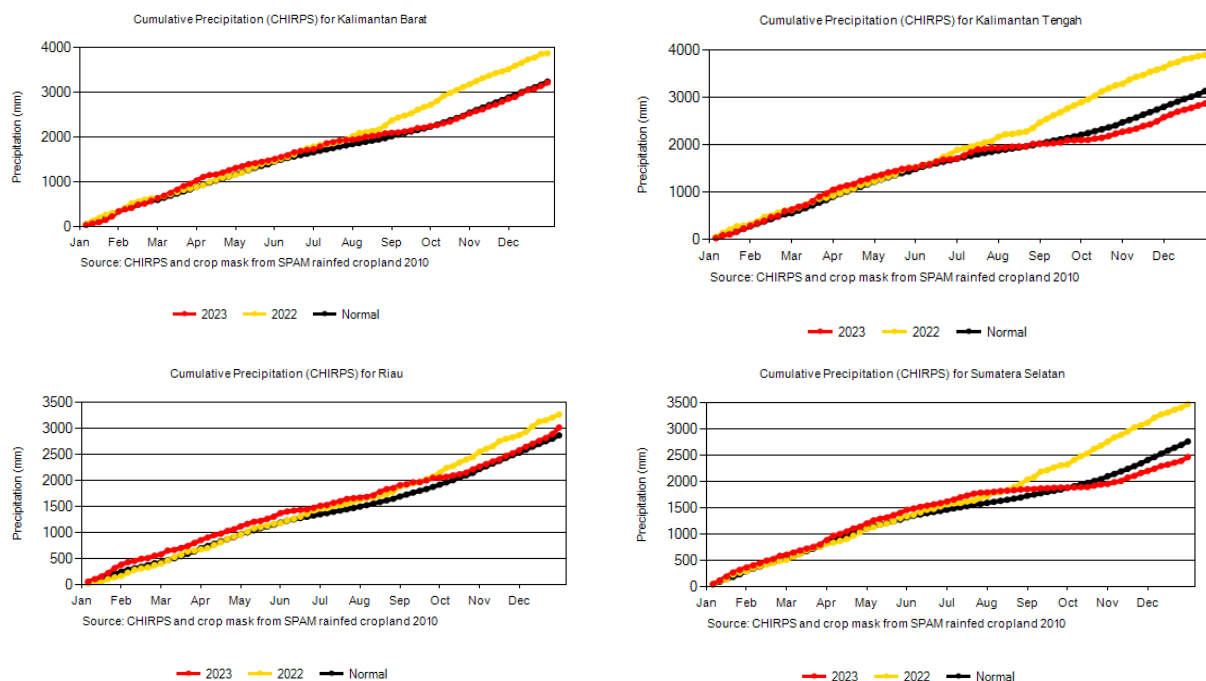
Commodity: Palm, Oil

Production

Post maintains Indonesia palm oil production forecast at 45.8 million metric tons (MMT) for 2023/24 and 44.7 MMT for 2022/23. See previous update at [ID2023-0028](#).

The local weather agency ([BMKG](#)) forecasted that El-Nino will continue at weak to moderate levels in early 2024, followed by a neutral phase for the rest of 2024. The El-Nino weather pattern that started in 2023 has impacted major palm producing areas such as South Sumatera and Central Kalimantan. Cumulative precipitation data show lower than normal precipitation for those areas in 2023, which is expected to affect yields for the following year.

Figure 1. Cumulative Precipitation in Palm Oil Producing Areas



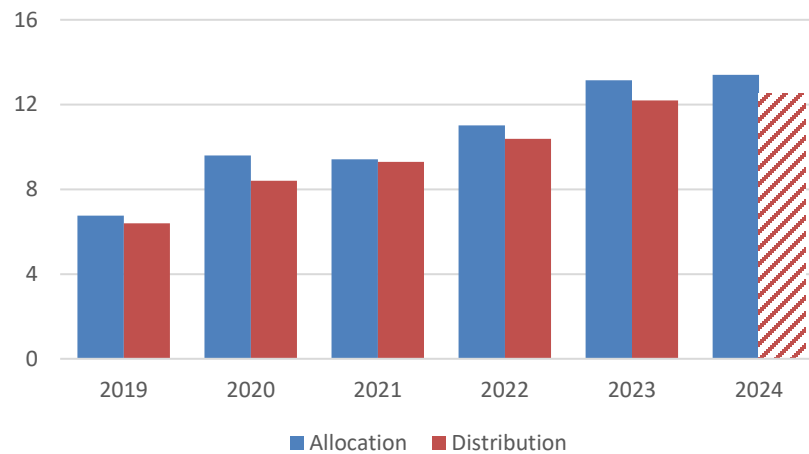
Source: [Crop Explorer](#) (as of January 26, 2024)

Consumption

Post revised down 2023/24 palm oil use slightly to 12.3 MMT on lower-than-expected demand from the biodiesel industry in Q3 of 2023. Despite this reduced forecast, palm oil use in the biodiesel industry for 2023/24 is still projected to be 6 percent higher than in 2022/23.

The Government of Indonesia ([GOI](#)) indicated biodiesel mandate distribution in 2023 reached 12.2 billion liters, lower than the allocation of 13.15 billion liters – but higher than the 2022 distribution of 10.4 billion liters. Biodiesel demand from overseas markets in the second half of 2023 is estimated at only 34 percent of the first half of 2023 shipments.

Figure 2. Biodiesel Allocation vs Distribution 2019-2024 (billion liters)



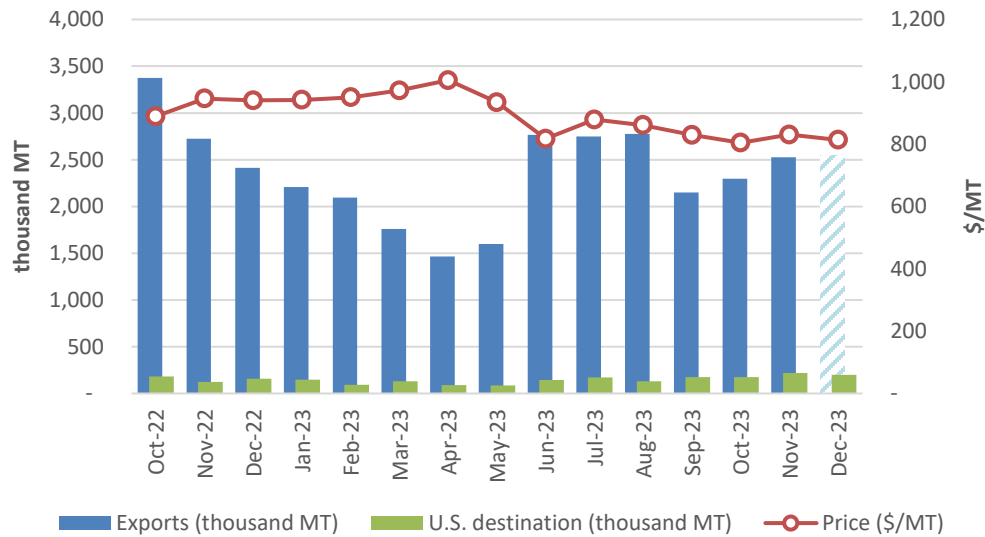
Source: ESDM/Aprobi. Note: Estimate for 2024 distribution

Indonesia's biodiesel mandate program continues to drive palm oil use for the rest of 2023/24 as the GOI set allocations at 13.4 billion liters for 2024, 2 percent higher than in 2023. There are 23 biodiesel producers assigned by the GOI to deliver Fatty Acid Methyl Ester (FAME) through for 22 fuel retailers. The GOI is expected to maintain the blending rate at 35 percent. Given unchanged forecast for food sector use, Post expects Indonesia palm oil consumption to rise 4 percent to 19.52 MMT for 2023/24.

Trade

Indonesia palm oil exports are expected to reach 27.9 MMT for 2023/24, slightly down from 2022/23 amid lower supplies, higher domestic use, and expected reduced demand from the key market destinations. Shipments during October to November 2023 reached 4.8 MMT, 4 percent lower than the last five years' average.

Figure 3. Indonesia Palm Oil Exports and Palm Oil Prices, 2022-2023



Source: WB, Trade Data Monitor, LLC. Note: Estimate for Dec 2023.

Palm oil prices from October to December 2023 dropped 11 percent from the average in 2022/23, bringing down the spread with soybean oil to an average of \$249, around half the spread of the corresponding period last year. However, exports to India are expected to slightly decrease due to higher stockpiles and rising shipping costs (see [IN2023-0089](#)). Trade data shows shipments to India from October to November 2023 were 300,000 MT lower than during the same period in 2022 of 1.3 MMT.

Shipments to the People's Republic of China (PRC) reached 931,000 MT in the first two months of 2023/24, 26 percent lower than the corresponding period of the previous year. As forecasts indicate, PRC economic growth will slow to 4.6 percent in 2024, Post expects palm oil exports to PRC to remain steady at 4.5 MMT in 2023/24.

Table 1. Production, Supply and Distribution Palm Oil

Oil, Palm	2021/2022		2022/2023		2023/2024	
Market Begin Year	Oct-21		Oct-22		Oct-23	
Indonesia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Harvested	12,500	14,900	13,500	14,800	13,800	14,500
Beginning Stocks	5,055	5,055	7,304	7,304	6,137	5,217
Production	42,000	42,000	46,000	44,700	47,000	45,800
MY Imports	-	-		-		-
Total Supply	47,055	47,055	53,304	52,004	53,137	51,017
MY Exports	22,321	22,321	28,077	28,077	28,200	27,900
Industrial Dom. Cons.	10,500	10,500	11,900	11,600	12,850	12,300
Food Use Dom. Cons.	6,650	6,650	6,900	6,800	7,200	6,900
Feed Waste Dom. Cons.	280	280	290	310	300	320
Total Dom. Cons.	17,430	17,430	19,090	18,710	20,350	19,520
Ending Stocks	7,304	7,304	6,137	5,217	4,587	3,597
Total Distribution	47,055	47,055	53,304	52,004	53,137	51,017
	0	0	0	0	0	0
(1000 HA) ,(1000 TREES) ,(1000 MT)						

Source: FAS Jakarta estimates

Commodity: Soy, oilseeds

Production

Post maintains Indonesia soybean production forecast at 375,000 MT in 2023/24, down 4 percent from 390,000 MT in 2022/23. The decline of soybean harvested area is expected to continue as farmers' planting preferences shift to more lucrative crops such corn and paddy.

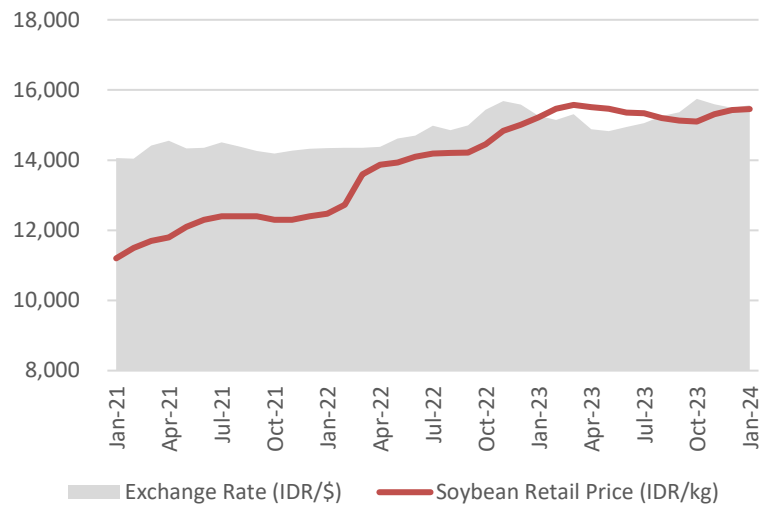
Consumption

Soybean consumption in Indonesia is mainly driven by the food sector, ranging from tempeh and tofu to soy-based sauces and beverages. Tempeh, a fermented soy food, provides Indonesian consumers an affordable protein source and is produced by mostly small and medium enterprises in highly populated regions such as Java and Sumatera. Post expects Indonesia soybean consumption to recover to 2.76 MMT in 2023/24, after contracting to 2.68 MMT in 2022/23. Soaring soybean prices in 2022/23 caused reduction demands from tempeh producers.

In 2022/23, soybean retail prices averaged 13,359 IDR (\$0.85) per kg, surging 19 percent from 11,200 IDR (\$0.71) in early 2021. Afterwards, prices flattened from January to October 2023, before rising slightly between November 2023 to January 2024 on reduced domestics stocks.

In the feed sector, feed millers expected to use more full fat soybean in response to rising domestic corn prices, which have surged since 2023. Their current feed formulation allows for 40-50 percent of the composition to be made up of corn as the source of energy.

Figure 4. Soybean Retail Price and Exchange Rate, 2021-204



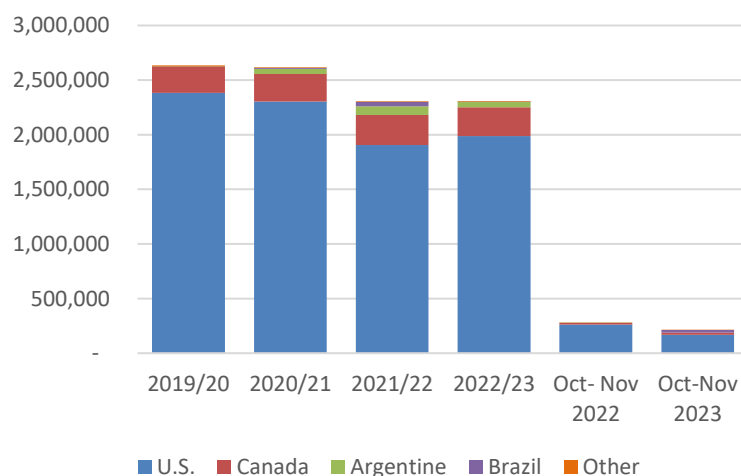
Source: Ministry of Trade, X-Rate.com

Trade

Post revises up 2023/24 soybean imports estimates to 2.5 MMT on improved demand from the food sector. The United States is expected to remain the top supplier of soybeans for Indonesia's soy-based food industry for its consistent supplies and technical specifications.

[U.S. exports sales data](#) show soybean exports from September 2023 to January 2024 reached 673,000 MT; a 29-percent increase compared to the same period the previous year with 523,000 MT. Soybean shipments from South America are expected to rise slightly on demand for full fat soybeans from feed millers.

Figure 5. Indonesia Soybean Imports by Origin (MT)



Source: Trade Data Monitor, LLC

Table 2. Production, Supply and Distribution Soybean

Oilseed, Soybean	2021/2022		2022/2023		2023/2024	
Market Begin Year	Oct-21		Oct-22		Oct-23	
Indonesia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Area Harvested	350	350	330	330	320	320
Beginning Stocks	146	146	94	94	100	110
Production	425	425	390	390	375	375
MY Imports	2,307	2,307	2,308	2,308	2,650	2,500
Total Supply	2,878	2,878	2,792	2,792	3,125	2,985
MY Exports	12	12	2	2	2	3
Crush	0	0	0	0	0	0
Food Use Dom. Cons.	2,647	2,647	2,540	2,550	2,850	2,620
Feed Waste Dom. Cons.	125	125	150	130	150	135
Total Dom. Cons.	2,772	2,772	2,690	2,680	3,000	2,755
Ending Stocks	94	94	100	110	123	227
Total Distribution	2,878	2,878	2,792	2,792	3,125	2,985
	0	0	0	0	0	0

(1000 HA) ,(1000 MT)

Source: FAS Jakarta estimates

Commodity: Soy, meal

Production

Indonesia does not produce soybean meal.

Consumption

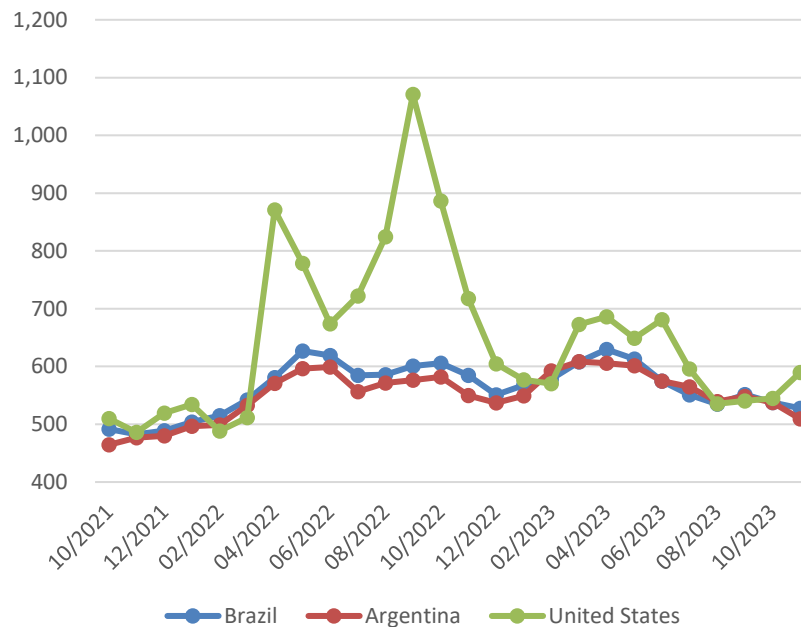
Post revised up its forecast for soybean meal consumption to 5.65 MMT for 2023/24, a 100,000 MT increase from 2022/23, on expected improved demand from the feed industry. Demand for animal protein such as poultry meat is forecast to recover in 2024 along with improved economic growth.

Soybean meal is a key ingredient in poultry feed, making up between 20 to 25 percent of total composition. In aquaculture feed, the inclusion of soybean meal is typically up to 40 percent. However, aquaculture feed accounts for only around 9-10 percent of national feed production capacity.

Trade

Post revises up soybean meal imports slightly to 5.7 MMT for 2023/24 based on expected improved demand from the feed industry in 2024. South American soybean meal made up more than 95 percent of total imports on price competitiveness. Soybean meal shipments from the U.S. jumped to 24,500 MT from October to November 2023, driven by a narrowed price gap with competing origins.

Figure 6. Indonesia Soybean Meal Imports, Unit Value by Origin (\$/MT)



Source: Trade Data Monitor, LLC

Table 3. Production, Supply and Distribution Soybean Meal

Meal, Soybean	2021/2022		2022/2023		2023/2024	
Market Begin Year	Oct-21		Oct-22		Oct-23	
Indonesia	USDA Official	New Post	USDA Official	New Post	USDA Official	New Post
Crush	-	-	-	-	-	-
Extr. Rate, 999.9999	-	-	-	-	-	-
Beginning Stocks	421	421	397	397	251	281
Production	-	-	-	-	-	-
MY Imports	5,535	5,535	5,434	5,434	5,725	5,700
Total Supply	5,956	5,956	5,831	5,831	5,976	5,981
MY Exports	9	9	-	-	-	-
Industrial Dom. Cons.	-	-	-	-	-	-
Food Use Dom. Cons.	-	-	-	-	-	-
Feed Waste Dom. Cons.	5,550	5,550	5,580	5,550	5,630	5,650
Total Dom. Cons.	5,550	5,550	5,580	5,550	5,630	5,650
Ending Stocks	397	397	251	281	346	331
Total Distribution	5,956	5,956	5,831	5,831	5,976	5,981
	-	-	-	-	-	-
(1000 MT) ,(PERCENT)						

Source: FAS Jakarta estimates

Attachments:

No Attachments